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INTERNATIONAL AFFAIRS INTELLIGENCE DIRECTORATE

Strategic Threat & Geopolitical Assessment Form

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Title: (U) Geopolitical Assessment: US-China Strategic Trade & Tech Decoupling Dynamics

Approved By: [ ] CHIEF OF STRATEGIC ASSESSMENT

Drafted By: [ ] STRATEGIC REGIONAL DESK

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(U) SINO-AMERICAN TARIFF CONFRONTATION & TECH ALLIANCE

Synopsis: (U) DOCUMENT SYNOPSIS CREATED ON 2026-09-28 21:31 KST -- SEE STRATEGIC INTELLIGENCE REPOSITORY FOR CURRENT ASSESSMENT DATA.

(U) Since Trump's second-term inauguration in January 2025, the US and China have exchanged escalating tariffs -- briefly reaching 145% (US on China) and 125% (China on US) around April 2025 -- before de-escalating through the Geneva (May), London (June), and Busan (October) agreements. As of September 2026, both countries remain under the one-year truce reached at the November 2025 Busan summit, though disputed outcomes from the May 2026 Beijing summit and a reported US review of new 'overcapacity' tariffs in August 2026 point to renewed friction.

(U) The US-China trade war, dating to the first Trump term's 2018 tariffs, was reignited under Trump's second term (Jan 2025-) through IEEPA 'fentanyl' tariffs, the 'Liberation Day' reciprocal tariffs, product-specific hikes from the Section 301 four-year review, and Chinese rare-earth export controls. After a 2025 roller-coaster year that briefly pushed tariffs above 100%, the October-November 2025 Busan and Washington agreements provisionally contained the conflict, though the structural contest over semiconductors, rare earths, and advanced technology remains unresolved.

1. BACKGROUND AND SCOPE

(U) President Trump has cycled through multiple legal authorities -- IEEPA, Section 301, Section 232 -- to run tariff policy as an ongoing negotiating tool, and after the Supreme Court invalidated the IEEPA tariffs in February 2026, his administration quickly reconstituted equivalent tariffs under alternate authorities. China tariffs have also doubled as leverage in bilateral deals with allies including Taiwan, Korea, and the EU.

Chronology of Key Intelligence Signals:

Phase	Observed Incident & Intelligence Signal
Signal 1 (Initial)	On March 4, 2025, the Trump administration doubled the 10% IEEPA 'fentanyl' tariff imposed on February 4 to 20% on all Chinese imports -- a step that, combined with April's 'Liberation Day' reciprocal tariffs, rapidly pushed combined US tariffs on China above 100% within weeks.
Signal 2 (Follow-on)	In early June 2025 the US raised Section 232 steel and aluminum tariffs from 25% to 50%; following talks in London (June 9-11), the two sides formalized on June 27 a detailed framework implementing the May Geneva consensus, restoring rare-earth shipments and easing restrictions on select technology trade.
Current Status	As of September 2026, the US and China remain within the one-year truce set at the October 2025 Busan APEC summit (US tariffs cut from 57% to 47%, fentanyl tariffs halved from 20% to 10%, some rare-earth controls suspended), even as the legal basis for US tariffs was restructured after the Supreme Court struck down IEEPA tariffs in February 2026, replaced by tariffs under Sections 232/301/122. The murky, disputed outcomes of the May 2026 Beijing summit and an August 2026 report that Washington is weighing a new 7.5% 'overcapacity' tariff on China suggest the truce persists but with recurring flare-up risk.

(U) Analyst Assessment: While headline tariff rates have fallen sharply from their April 2025 peak, overlapping high tariffs and export controls persist in strategic sectors -- semiconductors, EVs, rare earths -- suggesting a shift toward managed, rather than resolved, tension. Notably, both the 2025 and 2026 summits largely sidestepped the core disputes over semiconductors and Taiwan.

2. STAKEHOLDER STRATEGIC POSTURE

Actor	Official Stance & Strategic Posture
United States	The US treats tariffs both as tools to shrink the trade deficit, reshore manufacturing, and blunt China's technological rise, and as leverage in bilateral deals that trade tariff relief for allied investment and purchase commitments; it maintains hard export restrictions on the most advanced AI chips (e.g., Nvidia's Blackwell) regardless of the broader truce.
China	China has leaned on export controls over rare earths, gallium, and germanium as its principal negotiating leverage, retaliating against US tariff escalation with agricultural and corporate countermeasures, while reasserting Taiwan as a 'red line' it refuses to decouple from trade negotiations.
South Korea	Seoul accepted a $350 billion US investment package in exchange for minimizing tariff exposure on its key exports, securing a 15% auto tariff (matching the EU and Japan) and semiconductor treatment on par with Taiwan, while pursuing a pragmatic hedge that avoids full alignment with either Washington or Beijing given its exposure to Chinese retaliation.
Other Actors	The EU, caught between US tariff pressure and a surge of diverted Chinese exports, retaliated with roughly $23 billion in counter-tariffs in April 2025 before negotiating relief, and by 2026 was weighing its own Section 301-style defenses against China while rejecting US demands to weaken its sustainability regulations. Other trading partners, including Japan, have similarly sought individual bilateral tariff deals with Washington to create buffer zones.

3. ECONOMIC AND SECURITY IMPACT ANALYSIS

■ Security Dimension

(U) Implications for the Korean Peninsula: The US-China trade war is not a directly linked issue to North Korea, and this research found no direct evidentiary link to the nuclear or missile programs. Intensifying US-China strategic competition could, at most, function as an indirect backdrop raising overall great-power tension around the Korean Peninsula.

(U) Alliance Impact: The Korea-US alliance was effectively redefined through this tariff negotiation as a security-and-trade 'package deal' -- tariff relief exchanged for large-scale investment and shipbuilding cooperation -- illustrating how the alliance's scope is expanding from military security into industrial and supply-chain cooperation.

(U) Missile / Military Threat Level: This issue is fundamentally an economic-security matter centered on tariffs and export controls, with no direct connection established to North Korean missile threats. If anything, it illustrates the broader trend of treating strategic-goods export controls (semiconductors, rare earths) as an 'economic security threat' alongside, rather than in place of, traditional military-security threats.

■ Economic Dimension

(U) Trade & Commerce: Direct US-China trade has contracted under high tariffs, but overall trade flows have persisted through rerouting via third countries and supply-chain restructuring -- the same dynamic behind EU complaints about rising Chinese trade diversion through Europe. Semiconductor (HS 8541/8542) trade data for Jan 2025-Jun 2026 (USITC DataWeb) show US exports to China at roughly $17.05bn versus imports of about $2.59bn -- exports outweighing imports more than sixfold -- suggesting the US continues selling substantial semiconductor volumes to China even as it restricts imports of advanced logic chips. The figures aggregate advanced and legacy products alike, so they speak to overall trade scale rather than to the effectiveness of export controls themselves.

(U) FX & Currency Markets: Korea's decision to cap its US investment package at $20 billion annually and structure it through a risk-sharing special-purpose vehicle reflects an explicit effort to manage the potential shock of large-scale outbound investment on the won's exchange rate.

(U) Investment Flows: In advanced sectors like semiconductors, tariff and export-control uncertainty is incentivizing onshoring of US production capacity, while Korean firms are recalibrating investment strategy under the dual pressure of expanded US investment commitments and continued uncertainty in their China operations.

■ Public Opinion & Expert Assessment

(U) Domestic & International Opinion: Domestic opinion is divided -- concerns persist over the fiscal and currency risks of the $350 billion US investment commitment, even as securing semiconductor treatment on par with Taiwan is seen as a genuine negotiating win.

(U) Expert Assessment: Most trade experts characterize the 2025-2026 US-China agreements not as a strategic resolution but as a tactical truce driven by each side's domestic political and economic needs, expecting the underlying technology-hegemony contest over semiconductors and rare earths to persist structurally for the foreseeable future.

4. SIGNAL CONTEXT AND UNCERTAINTY

(U) Near-Term Observation Context (3-6 Months): Over the coming months, conditions are likely to remain broadly stable within the framework of the November 2025 deal (tariff exclusions extended through December 31, 2026; general licenses for rare earths in place), even as sporadic pressure tactics -- like the 'overcapacity' tariff floated in August 2026 -- continue to surface.

▶ Signal to verify: The most probable near-term scenario is continued 'managed tension' -- periodic sector-specific measures (chip equipment, shipbuilding, select materials) rather than a full-scale re-escalation, alongside ongoing negotiation.

(U) Medium-Term Observation Context (1-3 Years): Renegotiation is expected around the November 2026 expiration of the Busan truce, with tariff levels either easing further or ratcheting back up depending on the outcome.

▶ Transition Point: The expiration of the truce around November 2026, and any further Trump-Xi summit preceding it, are likely to be the key inflection points shaping the next phase of the conflict.

(U) Long-Term Structural Context: Most trade experts expect a structural 'managed decoupling' to take hold in strategic industries -- semiconductors, rare earths, batteries -- settling into neither full integration nor complete severance but a friend-shoring/near-shoring-based reordering of supply chains.

▶ Structural Risk: Beyond tariff rates, the conflict is reshaping the structure of global trade policy itself -- institutionalizing export controls on strategic goods (chip equipment, advanced AI chips, rare earths) and normalizing bilateral investment-for-tariff-relief deals as a policy tool.

Key Uncertainties:

1. Whether the one-year Busan truce (due to expire around November 2026) will be renewed, or whether tariff-escalation threats resurface as the deadline approaches, is the single largest near-term variable.

2. Even after the administration rebuilt tariffs under Section 232/301/122 authorities following the Supreme Court's February 2026 IEEPA ruling, further litigation or congressional efforts to constrain executive trade authority could destabilize the tariff regime itself.

3. An escalation of Taiwan-related tensions could rapidly expand controls and retaliation across the entire semiconductor supply chain, reflecting the structural entanglement of trade negotiations with security issues.

5. KEY STRATEGIC RECOMMENDATIONS

Recommendation 1 (Response Strategy): Experts recommend that Korea pursue supply-chain diversification for semiconductors and batteries, continuously reassess the terms of its US investment commitments, and secure alternative sourcing for rare earths and other critical minerals.

Recommendation 2 (Multilateral Diplomatic Positioning): Analysts assess that Korea is pursuing a hedging strategy -- deepening cooperation with the US in sectors where it holds competitive strength (semiconductors, shipbuilding) while managing its exposure to

Chinese market and supply-chain risk, rather than fully aligning with either power.

Recommendation 3 (ROK-US Coordination Implications): Through the August 2025 tariff-and-security fact sheet, Korea and the US redefined their trade relationship by trading a 15% auto tariff for a $350 billion investment package -- a template that subsequently informed negotiations with other allies, including the EU and Japan.

6. DATABASE QUERIES & METHODOLOGY

An open source query of Wikipedia Pageviews (Daily Public Interest) revealed 37,640 daily queries for 'US-China Trade War' with a 7-day DoD volatility of +15.9%.

A Guardian query of Government Announcements (MOFA / State Dept / Regional Feeds) revealed 22 matches (USTR, PRC Ministry of Commerce, Korea MOTIE) directly matched to issue parameters.

A 3-Model Consensus query (Mistral-7B, Qwen2.5-7B, EXAONE-3.5) revealed media framing classification of STRATEGIC COMPETITION with 100.0% (3/3 Consensus) agreement.

Validation status: Confirmation required. This report is an evidence dossier and does not assign an Alert Level until the approved warning snapshot and human-review status are attached.

Key Sources:

Al Jazeera (Oct 30, 2025); The White House (Nov 2025); Korea.kr (ROK Government) (1489).

Enclosure(s): Enclosed are the following items:

1. U Official_Announcements_Matching_Audit.csv
2. U Wikipedia_Pageviews_7Day_Trend.png
3. U Multi_Agent_Consensus_Audit_Matrix.json

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